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Recycling with the Best

Weekly Ship Recycling Report

29 June - 05 July 2024

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Highlights of the week

Here's an overview of the current ship recycling market across various destinations. In India, the market remains stable, with the situation expected to persist until early September, aligning with the end of the monsoon season. The availability of various scrap options is putting pressure on the demand for ship steel scrap. In Bangladesh, the market continues to decline due to the monsoon season and low local demand, with recyclers awaiting further stabilization before making offers. Pakistan's market remains unchanged following the imposition of a new additional import tax on vessels, which has made other imports slightly more competitive. Türkiye sees no change in local market prices, with a slight improvement in import values. Despite these challenges, the Indian market remains comparatively strong, free from LC problems and maintaining more favorable rates than its counterparts.

The slowdown in China's real estate and construction sectors has slashed domestic steel demand, compelling Chinese steelmakers to target new markets, especially in Latin America. This shift has resulted in Chinese steel being sold at below-market prices, creating a dumping crisis that jeopardizes local industries. In response, Mexico, Chile, and Brazil have ramped up tariffs on Chinese steel imports, with more countries expected to follow suit. The Latin American Steel Association has warned that this surge of cheap Chinese steel is stifling local production, leading to halted operations and risking deindustrialization. The influx of low-cost Chinese steel not only undermines quality and environmental standards but also heightens trade tensions, as retaliatory measures from China loom. This situation also poses challenges for the Indian steel sector, amplifying global market disruptions.

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Exchange Rates:

USD / INR ₹

This Week	:	83.50
Previous Week	:	83.34
Lost	:	0.16

USD / BDT ৳

This Week	:	117.34
Previous Week	:	117.50
Gained	:	0.16

USD / PKR Rs

This Week	:	278.36
Previous Week	:	278.30
Lost	:	0.06

USD / TRY ₺

This Week	:	32.72
Previous Week	:	32.82
Gained	:	0.10

India

Market conditions remain stagnant amid persistent trends and alternative scrap pressures.

- The situation remains unchanged from the previous week, with only one small reefer vessel sold.
- Based on general sentiment and usual trends, the current situation, which began after the election results, is expected to persist until early September, aligning with the end of the monsoon season.
- The availability of various options for scrap, including imported scrap and other sources, is putting pressure on the demand for ship steel scrap.
- With continued investment across various sectors, India's overall steel demand is expected to grow at a compound annual growth rate (CAGR) of 5 to 7.3 percent over the next decade, potentially reaching 221 to 275 million tonnes by FY 34, according to recent report.

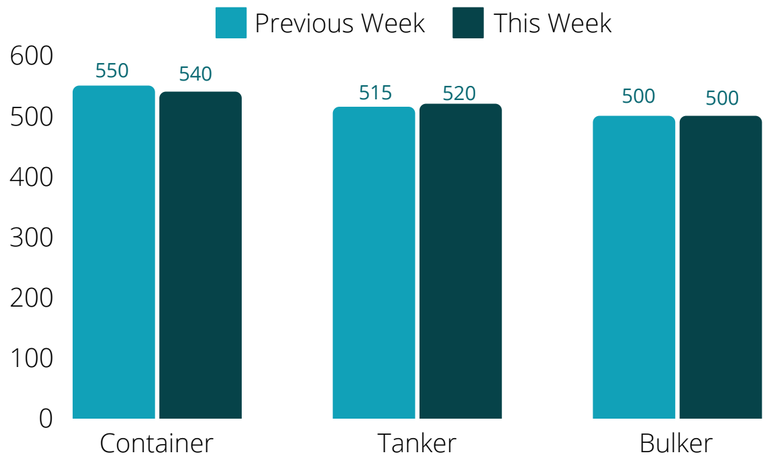
Beaching Dates

05 July to 11 July 2024

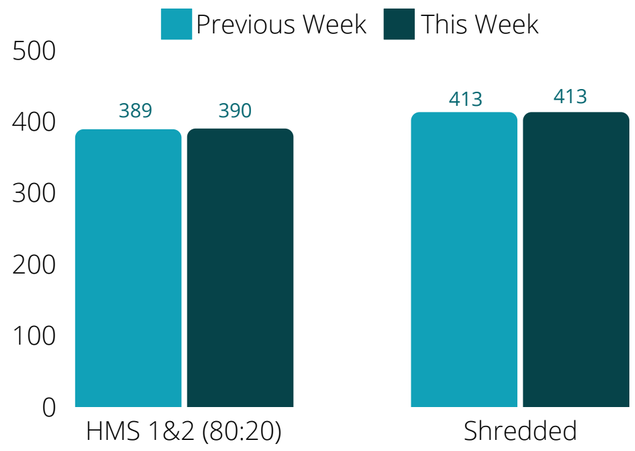
19 July to 27 July 2024

31 July to 08 August 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Market declines due to monsoon and low demand; recyclers hesitate to engage until stabilization.

- The market has decreased by another 500 to 1000 BDT (approximately 5 to 10 USD). The market continues to fall, primarily due to the monsoon season and a lack of demand from the local market.

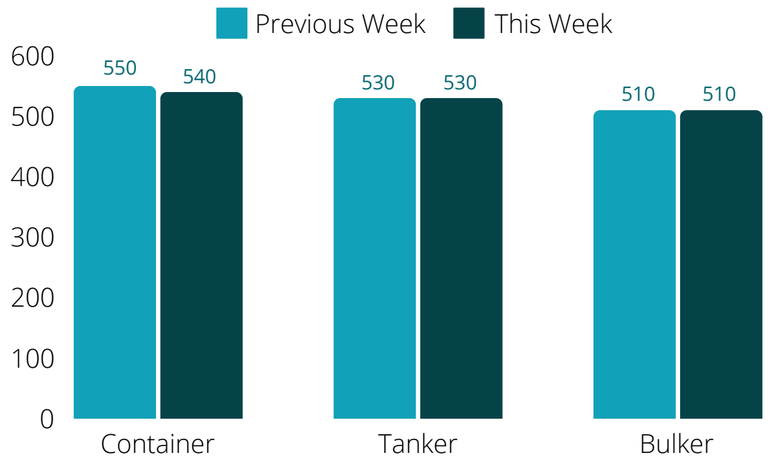
- Recyclers are reluctant to make offers as they are waiting to see how much further the market will decline and how local steel demand will evolve. Interest from recyclers is expected to rise only after the market stabilizes.

- Bangladesh is seeking a $5 billion loan from China to boost its foreign exchange reserves amid ongoing issues with dollar shortages and letters of credit, as reported by the central bank governor to Bloomberg. The country has approached several nations for credit assistance to address its declining forex reserves and economic challenges.

Beaching Dates

05 July to 08 July 2024
21 July to 24 July 2024
04 August to 07 August 2024

Price for Recycling Ships in Bangladesh



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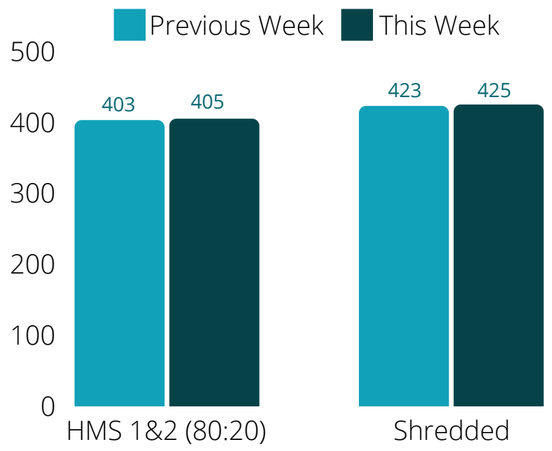


Pakistan

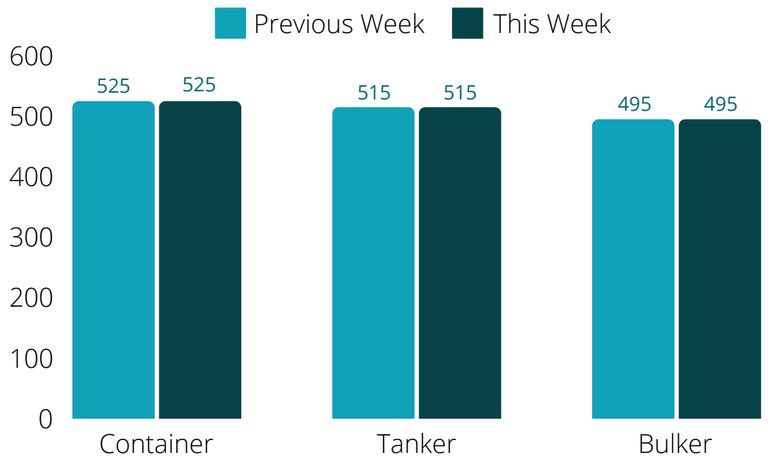
Market conditions remain unaltered after the imposition of additional import tax on vessels.

- The market conditions remain unchanged from last week, following the imposition of a new 2% additional import tax on vessels.
- This unforeseen tax, introduced unexpectedly and not included in the original budget, is projected to increase costs by Rs. 3000 per ton (approximately 10 USD per ton).
- This new tax has made the import of other items, such as shredded scrap and HRC coils from China, slightly more competitive.
- The Ministry of Industries and Production has ordered the cessation of gas supply to Pakistan Steel Mills, effective June 30, as per the Economic Coordination Committee's decision on May 23, ending federal responsibility for the mill's gas obligations.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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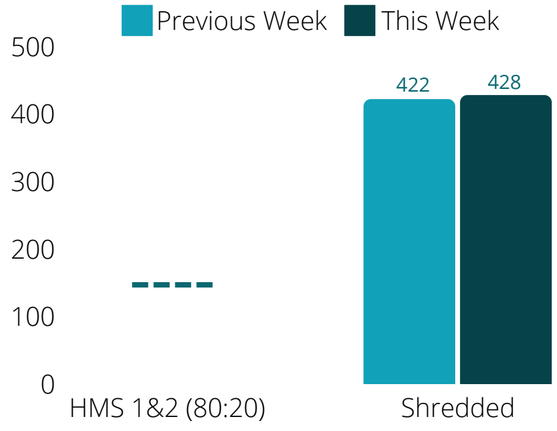
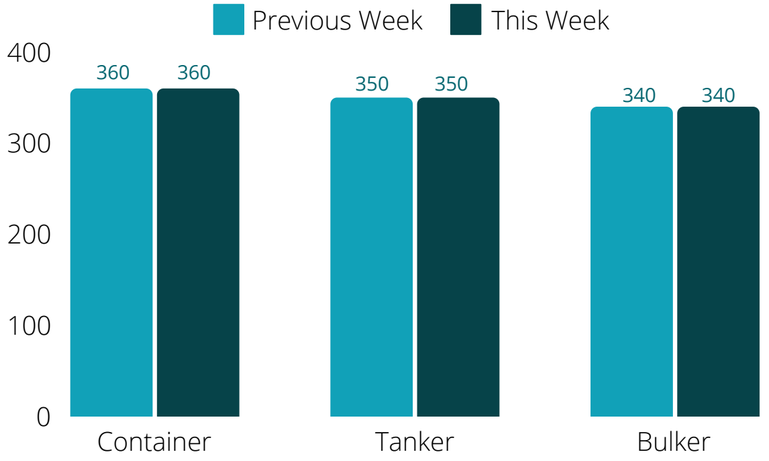


Türkiye

Stable local prices and improved import values, along with reduced inflation.

- Local market prices remain the same, and the import value has improved by 4 USD.
- Türkiye's annual inflation rate fell to 71.6 percent in June, as per official data. Consumer prices began slowing after reaching a peak of 75.45 percent in May.
- Turkiye has initiated an anti-dumping investigation into cold-rolled stainless steel imports from China and Indonesia. Additionally, raw material prices have experienced significant increases in many cases during the first half of 2024.

Price for Recycling Ships in Türkiye



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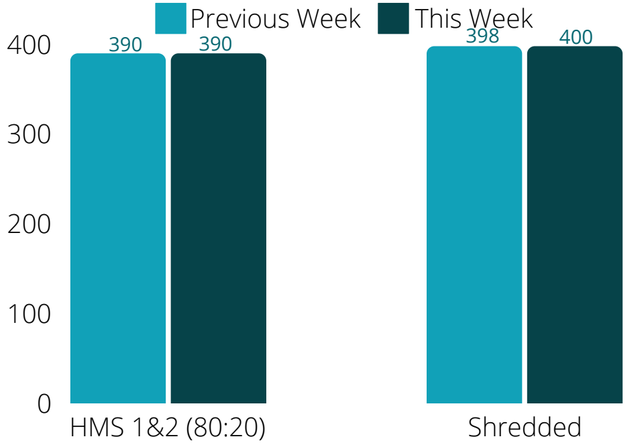
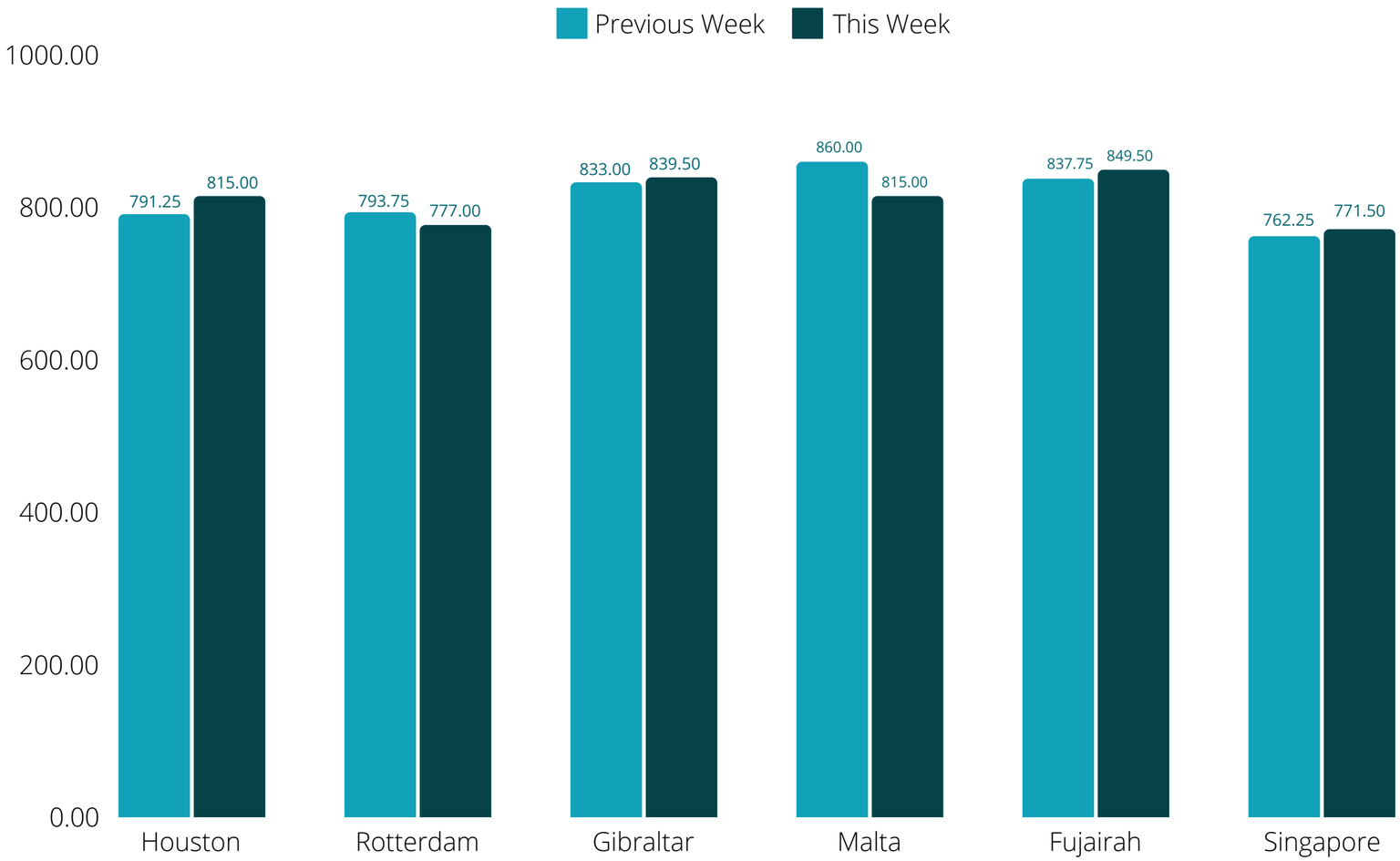


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 87.61
Previous Week	: 86.73
Movement	: + 0.88

WTI Crude

This Week	: 84.10
Previous Week	: 82.14
Movement	: + 1.96

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
XING TONG 313	LPG TANKER	9146845	1986	JAPAN	1,909	DELIVERED	CHITTAGONG, BANGLADESH	510
YUN TAI LONG 66	CONTAINER	1067067	2005	CHINA	2,090	DELIVERED	CHITTAGONG,BANGLADESH	495
KAI 1	CONTAINER	8876431	1994	SOUTH KOREA	2,404	DELIVERED	CHITTAGONG,BANGLADESH	530
MARZUK	GENERAL CARGO SHIP	7396666	1974	NETHERLANDS	1,850	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
BLUE STAR	GENERAL CARGO SHIP	8421705	1986	NETHERLANDS	846	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED

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